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KSE-100 V

177,194

▼ 0.56% Tue ·
--~1,000 pts

S&P 500 V

7,737

▲ 1.79% · record

DOW / NASDAQ V

54,086

▲ 1.71% · Nasdaq
+2.6%

BRENT / WTI V

\$79.5 / \$76.0

▼ ~5% · Hormuz
thaw

GOLD V

\$4,075

firmer · silver
~\$58.5

USD/PKR V

~281

interbank · rupee
softer

01 Five Things You Need To Know To Start Your Day

OIL'S BIG UNWIND

The July fear-trade reversed hard: **Brent fell ~5.1% to \$79.47** and **WTI ~5.4% to \$75.98** on Tuesday — Brent below \$80 for the first time since the Gulf flare-up — as **US-Iran/Oman diplomacy over reopening the Strait of Hormuz** deflated the supply-risk premium ([The National](#), [HDFC Sky](#)). [V] Sentiment for Pakistan: **a genuine relief valve**.

WALL STREET STORMS TO RECORDS

The oil drop lit a risk-on fire: the **Dow surged ~1.71% (+~900 pts)** above 54,000 for the first time ever, the **S&P 500 jumped 1.79% to 7,737** — its first record in two months, and the **Nasdaq leapt 2.59% to 26,585** on a tech comeback and easing geopolitics ([CNN](#), [Motley Fool](#)). [V] Sentiment: **risk-on, records**.

PSX COOLS FROM ITS HIGHS

Pakistan bucked the global melt-up: the **KSE-100 slipped ~0.56% (nearly 1,000 points) to 177,194** on Tuesday as investors booked profits after a strong start to the week, with the index whipsawing between ~178,020 and ~178,770 intraday ([Business Recorder](#), [Trading Economics](#)). [V] Sentiment: **healthy consolidation**.

PAKISTAN DISINFLATION CONFIRMED

The domestic anchor improved: **July CPI cooled sharply to 9.2% year-on-year**, from 11.1% in June, on softer housing/utilities and transport — though food ticked up to 10.6% ([Business Recorder](#), [Daily Times](#)). The **SBP policy rate holds at 11.50%**. [V] Sentiment: **easing bias building**.

YIELDS EASE, RUPEE SLIPS

With the war premium bleeding out, the **US 10-year yield eased ~5bps to ~4.62%**, letting **gold firm to ~\$4,075** (silver ~\$58.5) even in a risk-on tape ([Forbes](#)). At home, the **rupee softened to ~281 interbank** from ~278 ([HamariWeb](#)). [V] Sentiment: **FX to watch**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Macro headwinds / tailwinds: Pakistan mid-week finds the external backdrop turning in its favour. The **KSE-100 eased ~0.56% to 177,194 on Tuesday** — a near-1,000-point pullback that reads as profit-taking and consolidation at record-adjacent levels rather than a change of trend [V]. The bigger story is imported and, for once, friendly: the **>20% July oil spike is unwinding fast** — Brent back below \$80 and WTI near \$76 — which directly eases Pakistan's import bill, current-account pressure and imported-inflation risk. That dovetails with a confirmed domestic disinflation: **July CPI cooled to 9.2%** from 11.1%, keeping the **SBP's 11.50% hold** comfortable and building the case for eventual easing. The offset is FX: the **rupee has drifted to ~281 interbank**, so a firmer-again dollar remains the variable to watch. Net: a constructive setup — cheaper oil plus falling CPI — with the index consolidating before its next leg.

- **Volatility at PSX, KSE-100 down nearly 1,000 points** — the index closed Tuesday around 177,194 (–0.56%) after a choppy session, as investors locked in gains following the week's earlier strength.
- **Pakistan inflation clocks in at 9.2% in July 2026** — headline CPI eased from 11.1% on softer housing, utilities and transport; food inflation edged up to 10.6%, keeping the SBP patient at 11.50%.
- **Rupee softens toward ~281 interbank** — the currency has given back ground versus the dollar even as the oil retreat relieves the import bill, leaving FX the key domestic swing factor.

B. GCC & Middle East

OPEC+ closes the taps on hikes as diplomacy cools the Gulf. The cartel core approved a **final September output increase of ~188,000 bpd**, completing the phased rollback of the 1.65m bpd of voluntary cuts first agreed in 2023 — and signalled it will **hold quotas steady for the rest of 2026** (CNBC, Al Arabiya). Combined with **US–Iran/Oman talks on reopening the Strait of Hormuz**, the geopolitical premium that drove July's spike is deflating, and crude has slid back below \$80 [V]. For the Gulf, the diversification engine remains the structural story: PIF-anchored Vision-2030 mega-projects (NEOM, Red Sea, Diriyah, New Murabba) and resilient non-oil activity keep the deal pipeline open for Gulf-focused sponsors and Pakistani corporates, even as producer budgets feel softer prices.

- **OPEC+ agrees September oil hike, completing rollback of voluntary cuts** — a final ~188k bpd increase finishes unwinding the 2023 cuts; the group is expected to pause further hikes for the rest of 2026.
- **Brent falls below \$80 amid conflicting claims on US–Iran talks** — Washington cites progress on Hormuz while Tehran downplays direct talks; the market repriced supply risk sharply lower.

C. Global Intelligence

Wall Street & global hubs: US equities ripped to fresh records as the Gulf risk premium deflated and a tech comeback broadened the rally — the **Dow closed above 54,000 for the first time (+1.71%, ~+900 pts) to 54,086**, the **S&P 500 rose 1.79% to a record 7,737**, and the **Nasdaq surged 2.59% to 26,585**, with technology up sharply and only energy and utilities lagging [V] ([CNN](#), [Eurasia Business News](#)). Rates cooperated: the **US 10-year eased ~5bps to ~4.62%** as lower oil trimmed inflation angst, yet **gold held firm near \$4,075** — a sign hedgers aren't fully unwinding [V] ([Forbes](#)). The set-up: strong earnings and de-escalation versus a Fed still in no hurry to cut — a mix that, for now, is unambiguously risk-on and, via cheaper crude, supportive for oil-importing EMs like Pakistan.

- **The S&P 500 is back at a record high and the Dow just hit 54,000** — easing geopolitical tensions and a tech rebound powered record closes across the major US indices.
- **Dow rallies to record, S&P posts record close, oil falls to ~\$75** — the 10-year yield eased toward ~4.62% as the oil-led inflation scare faded into diplomacy hopes.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	July CPI eases to 9.2%; SBP holds at 11.50% — headline inflation cooled from 11.1% on softer utilities and transport, reinforcing the central bank's patient stance.	Banks, Equities, Leveraged Borrowers, Autos, Cements, Consumers	Wins: rate-sensitive cyclicals and leveraged borrowers as the disinflation path builds the case for eventual cuts; consumers from cheaper energy pass-through. Losses: savers and anyone needing a cut now — easing is coming into view but not yet delivered. A constructive backdrop for equities into the next MPC.
GCC — Regional	OPEC+ approves final September output hike (~188k bpd) — completes the rollback of 2023 voluntary cuts; the group signals a pause in further increases for the rest of 2026.	Energy, Refiners, Oil Importers, Downstream, Sovereign Funds	Wins: oil importers (Pakistan included), downstream and consumers as extra barrels plus Hormuz diplomacy pull crude below \$80. Losses: producer budget-breakevens and energy longs if prices stay soft. Net for Pakistan: a clear pressure valve on the import bill and inflation.
Global — US / Middle East	US-Iran/Oman diplomacy on reopening the Strait of Hormuz — progress signals deflate the war-risk premium; oil tumbles ~5% and the 10-year yield eases toward ~4.62%.	Global Equities, Oil, Bonds, Emerging Markets, Gold	Wins: global and EM equities, oil importers, and rate-sensitive assets as yields ease and risk appetite returns. Losses: energy longs, oil producers, and safe-haven positioning at the margin — though gold's resilience shows hedges aren't fully unwound. Fragile: talks remain unconfirmed.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

176,000

first floor; deeper support at the 175,000 zone

PIVOT EST.

177,194

Tuesday's close — reclaiming it keeps the trend intact

RESISTANCE EST.

178,200

Monday's close area; then the 178,770 recent high

Desk stance — constructive; a healthy pause with the macro wind now at Pakistan's back.

Tuesday's near-1,000-point dip looks like profit-taking after a strong start to the week, leaving the market **consolidating just under record territory around 177,000 [V]**. The tailwinds have strengthened: crude has **unwound its July spike (Brent sub-\$80, WTI ~\$76)**, **July CPI cooled to 9.2%**, and Wall Street is at fresh records — all supportive for an oil-importing market. The offsets are FX (rupee ~281) and the fact that Hormuz diplomacy is unconfirmed, so a crude snap-back is the key risk. Positioning: banks retain the cleanest earnings visibility; cheaper energy helps cements, autos and consumers; E&P

is the two-way geopolitics hedge. Keep leverage modest; watch the rupee and the next oil headline.

Levels are indicative desk estimates, not recommendations.

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